Louisiana (:)

SEPTEMBER 2026 Gambling Market & Regulatory Brief · Published 15 Oct 2026 (LGCB/LSP monthly revenue reports for September 2026; sportsbook workbooks dated 13 Oct 2026) · Currency USD (tables in US$ millions unless stated; market reports natively in USD)

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B2Tech · via Merlin

THE ONE-LINE VERDICT

September 2026 was Louisiana's best handle month of the year at $405.1m (+0.9% YoY), but a soft 10.7% hold cut net proceeds 8.0% to $43.4m and state tax 9.4% to $8.9m — the sportsbook market is now mature, 95% mobile, parlay-dependent (63% of mobile win) and taxed at 21.5%. The land-based base is the growth story for once ($195.5m casino GGR, +11.8% on landside relocations and Caesars New Orleans), while the rule-set is hardening: sweepstakes are banned with racketeering exposure from 1 Aug 2026, and a prop/micro-bet ban was shelved only because it would cost the state >$20m a year.

SPORTS HANDLE (SEP-26)	SPORTS NET PROCEEDS (POST-PROMO)	HOLD (NET PROCEEDS / HANDLE)	SPORTS TAX PAID	MOBILE SHARE OF HANDLE	CASINO GGR (RIVERBOAT+LAND-BASED+RACINO)
$405.1m	$43.4m	10.7%	$8.9m	94.9%	$195.5m
+0.9% YoY / +48.9% MoM	-8.0% YoY	-104bp YoY (mobile 10.3%)	-9.4% YoY (21.5% mobile / 10% retail)	+3.3pp YoY	+11.8% YoY

1 EXECUTIVE SUMMARY

- **Best handle month of 2026, weakest hold since February:** total sports wagers of $405.1m (+0.9% YoY, +48.9% MoM as football returned) produced net proceeds (GGR after promo deductions) of $43.4m, down 8.0% YoY, because hold fell to 10.72% from 11.76%. Gross win before the $1.3m promo deduction was $44.7m (-7.5%), matching the ~$45m / -7% figure carried by trade press.
- **Mobile is the market:** mobile handle $384.5m (+4.6% YoY) is 94.9% of stakes and $39.6m (91%) of net proceeds; retail handle collapsed 39.0% to $20.6m, although an 18.9% retail hold lifted retail win 30.6% to $3.9m. Mobile hold of 10.29% vs 12.03% a year ago explains the entire NP decline.
- **Tax take tracked hold, not rate:** $8.88m paid in September (-9.4% YoY) — $8.50m mobile at exactly 21.5% of net proceeds and $0.38m retail at ~10% (9.7% effective after loss carry-forwards). September 2025 already carried the 21.5% rate, so there is no rate tailwind left in the YoY comparison.
- **Fiscal Q1 FY27 (Jul–Sep 2026):** handle $956.7m (+6.4%), net proceeds $110.9m (-1.1%), tax $23.0m (+8.3%). The tax line grew only because July 2025 was the last month taxed at 15%; hold compressed to 11.6% from 12.5%.
- **Calendar 2026 to date:** 9M handle $2,998m (+1.8% vs 9M-25 $2,945m), net proceeds $357.1m (+3.4%), tax $74.6m, promo deductions $31.4m (1.0% of handle). CY2025 closed at $4,245m handle / $521.5m NP / $92.7m tax — growth has decelerated to low single digits on stakes.
- **FY26 (Jul-25–Jun-26) was the step-change year:** handle $4,241m (+5.7%), net proceeds $534.5m (+14.1%), tax $109.6m (+55.7%) as the mobile rate rose from 15% to 21.5% (Act 298 of 2025, effective 1 Aug 2025). Mobile: $3,996m / $505.1m / $106.6m; retail: $244.9m (-13.0%) / $29.4m / $2.9m. FY25 had grown +20.3% on handle, so the market has roughly halved its growth rate in a year.
- **Product mix is parlay-led:** parlays generated $24.9m, 63% of September mobile net proceeds; football $5.2m, 'other' (props/tennis/golf/etc.) $6.4m, baseball $2.1m, basketball $0.8m, soccer $0.4m. FY26 parlays were $357.7m of $505.1m mobile NP (71%). This is the economic engine and the political target (see SB 354).
- **Market structure (FY25, regulator-reported):** statewide gaming revenue ~$3,625m — riverboats $1,811.0m (50%), video poker net device revenue $757.7m (21%), mobile sports $442.6m (12%), racino slots $317.5m (9%), Caesars New Orleans land-based $270.1m (7%), retail sports $25.1m (1%), DFS net $1.5m. 'Online penetration' is therefore ~12% of gaming revenue and is sports-only: there is no iGaming and no iLottery.
- **Land-based is growing double digits in Sep-26:** $195.5m (+11.8%), with the 16 riverboat/land-based casinos at $172.3m (+14%). Lake Charles $69.7m (+9.4%), New Orleans $50.4m (+13.8%; Caesars New Orleans $25.4m, +30.4%), Shreveport/Bossier $47.6m (+15.9%; Live! +31.3%), Baton Rouge $22.3m (+10.7%; Bally's Baton Rouge +607% after its landside move). Racetracks lag: Delta Downs $12.2m (-2.2%), Evangeline Downs $5.5m (-2.8%). Jefferies puts Q3 statewide GGR at +3.5% against an +8.3% comp.
- **Licensing is capped and casino-anchored:** the Sports Wagering Act allows up to 20 sports wagering licences, reserved for the 15 riverboat, 4 racino and 1 land-based casino licensees; mobile is offered through platform providers (permit: $100,000 non-refundable application + $250,000 permit fee per five-year term) and service providers ($10,000 + $12,500). The LGCB platform list names 10 sportsbooks — FanDuel, DraftKings, Caesars, BetMGM, bet365, Fanatics, BetRivers, Bally Bet, ESPN Bet and TwinSpires — but several are understood to be inactive [current status unverified]; the regulator publishes no operator-level data, so shares are n/a.
- **Tax regime (base = net proceeds, i.e. GGR less promo wagers, with operator losses carried forward):** mobile 21.5%, retail 10%; DFS 8% of net revenue; riverboats pay a 21.5% state fee on net gaming proceeds ($389m on $1,811m in FY25) plus local admission fees; racino slots paid $48m (15% effective state fee) and Caesars New Orleans $65.0m under its operating contract; video poker franchise fees are 22.5% for racetrack/OTB (Type 4) locations and higher for other location types [other rates unverified], $229.6m in FY25 (30% blended).
- **Tax allocation politics:** Act 298 earmarks 25% of mobile sports tax to the SPORT Fund for public-university athletics (~$1.7–2m per Division I programme) and 3% to the Postsecondary Inclusive Education Fund, alongside the legacy split (25% early-childhood education, 10% local governments, 3% problem gambling). The original HB 639 draft proposed 32.5% — the legislature has shown both appetite and a ceiling.
- **State take:** roughly $802m across all verticals in FY25 (22% blended on $3,625m), of which sports betting was only $70.4m; lifetime sports wagering since launch (retail Oct-21, mobile Jan-22) is $16.2bn handle, $1.85bn net proceeds and $312.6m tax.
- **Enforcement has turned hard-edged:** HB 883 (dual-currency sweepstakes defined as illegal 'gambling by computer'; fines up to

$100,000 per violation; liability extended to platform providers and payment processors; AG cease-and-desist and injunction powers) and HB 53 (gambling by computer, electronic sweepstakes devices and sports bribery added to the racketeering statute — up to 50 years and $1m) were signed in May 2026 and took effect 1 Aug 2026, after the Governor vetoed a 2025 sweepstakes ban and the LGCB issued 40+ cease-and-desist letters.

- **Prop/micro-bet ban shelved purely on fiscal grounds:** SB 354 (ban on all proposition and in-play micro wagers from 1 Aug 2026) was withdrawn on 1 Apr 2026 after the fiscal note showed >$20m of annual General Fund loss (~$40m total tax in some reports); the sponsor has said she will return in 2027. With parlays and props carrying ~70% of mobile win, this is the single biggest product risk in the state.
- **No iGaming, no iLottery, grey-zone prediction markets:** no online casino bill advanced in 2026; an iLottery authorisation was prefiled [outcome unverified]; federally-regulated event contracts (Kalshi et al.) remain outside the LGCB framework [enforcement status unverified]. The 'online' TAM is therefore capped at sportsbook NP of ~$500–535m a year.
- **Payments and RG:** the regulator publishes no payments data; deposits run on standard US rails (ACH, cards, wallets, casino-cage cash) with no state credit-card ban identified [unverified]. Minimum age 21, parish-level geofencing (55 of 64 parishes opted in), a statewide LGCB self-exclusion list, 3% of sports tax to problem gambling, and an LGCB prohibition on college player props (since 2024) [not re-verified].
- **Read-through for B2Tech:** B2C market access requires a skin agreement with one of the 20 casino/racino licensees, a $350k permit outlay and competing for share in a FanDuel/DraftKings-dominated market growing 2–6% on handle and taxed at 21.5% of a promo-deductible base — expensive share-taking, not greenfield. The more realistic angle is B2B (platform/service-provider permits are cheap) and supplying land-based operators, who are the only growing, protected segment; keep any grey-market adjacency (sweeps, prediction markets) out of Louisiana entirely given racketeering exposure.

2 MARKET SUMMARY

US $M (LGCB/LSP data unless noted)	SEP-26	MOM	YOY	FY27 Q1 (JUL–SEP 26)	YOY
SPORTS WAGERING (REGULATOR WORKBOOKS)					
Handle – total	**405.1**	**+48.9%**	**+0.9%**	**956.7**	**+6.4%**
Handle – mobile	384.5	+47.5%	+4.6%	914.5	+9.8%
Handle – retail	20.6	+80.3%	-39.0%	42.3	-36.3%
Promo wager deductions	1.31	+36.9%	+10.3%	3.35	+4.6%
Net proceeds (GGR after promo) – total	**43.4**	**+32.4%**	**-8.0%**	**110.9**	**-1.1%**
Net proceeds – mobile	39.6	+27.3%	-10.6%	103.9	-0.6%
Net proceeds – retail	3.9	+122.4%	+30.6%	7.0	-7.2%
Hold % (net proceeds / handle)	10.72%	-134bp	-104bp	11.59%	-87bp
Tax paid – total	**8.88**	**+29.9%**	**-9.4%**	**23.03**	**+8.3%**
Tax – mobile (21.5% of net proceeds)	8.50	+27.3%	-10.6%	22.35	+8.9%
Tax – retail (10% of net proceeds)	0.38	+140.8%	+27.3%	0.68	-6.3%
Mobile share of handle	94.9%	-0.9pp	+3.3pp	95.6%	+3.0pp
LAND-BASED GAMING (LGCB DATA VIA CDC GAMING / GAMING INTELLIGENCE)					
Casino GGR – riverboats + Caesars NO + racino slots	**195.5**	**n/a**	**+11.8%**	**n/a (Jefferies: +3.5%)**	**n/a**
16 riverboat & land-based casinos	172.3	n/a	+14%	n/a	n/a
Racino slots (derived: total less casinos) Delta Downs $12.2m (-2.2%), Evangeline Downs $5.5m (-2.8%); Fair Grounds and Louisiana Downs not itemised in the sources read.	~23.2	n/a	n/a	n/a	n/a
Lake Charles district	69.7	n/a	+9.4%	n/a	n/a
New Orleans district (Caesars NO $25.4m, +30.4%)	50.4	n/a	+13.8%	n/a	n/a
Shreveport/Bossier district	47.6	n/a	+15.9%	n/a	n/a
Baton Rouge district (Bally's landside +607%)	22.3	n/a	+10.7%	n/a	n/a
Video poker net device revenue Sep-26 video poker workbook not retrieved; FY25 NDR $757.7m, Oct-25 $66.8m (+5.8% YoY), 12,482 devices at 1,376 locations.	n/a	n/a	n/a	n/a	n/a
REGIME & COUNTS					
Tax base / rate – mobile sports	21.5% of net proceeds (GGR less promo; losses carried forward)	—	from 15% (eff. 1 Aug 2025)	—	—
Tax base / rate – retail sports / DFS	10% of net proceeds / 8% of net DFS revenue	—	unchanged	—	—
State fee – riverboats / racino slots / Caesars NO	21.5% of net gaming proceeds / ~15% effective / contractual ($65.0m FY25)	—	unchanged	—	—
Sports wagering licences (cap) / mobile platforms listed	20 (15 riverboat, 4 racino, 1 land-based) / 10 listed	—	—	—	—
Platform provider permit / service provider permit	$100k app + $250k per 5 yrs / $10k + $12.5k per 5 yrs	—	—	—	—
FY25 statewide gaming revenue / state take	$3,625m / ~$802m	—	—	—	—

3 DEEP-DIVE — MOBILE SPORTS BETTING (ONLINE)

$384.5m handle (+4.6%) but a 10.3% hold took net proceeds down 10.6% to $39.6m; parlays are 63% of win and the whole economic argument.

SEPTEMBER HANDLE AND HOLD

Mobile handle of $384.5m rose 4.6% but a 10.3% hold cut net proceeds 10.6% to $39.6m.

- Wagers up 47.5% on August; strongest month of calendar 2026 and third-highest ever behind October and November 2025 ($430.8m and $414.6m).
- Win before promo deductions $40.9m; after $1.3m promotional-wager deduction, net proceeds $39.6m; hold 10.3% versus 12.0% a year earlier and 11.9% in August.
- Football net proceeds $5.2m, 17% below September 2025's $6.2m on larger handle; 'other' bucket fell from $9.9m to $6.4m as favourites covered.
- Parlay win $24.9m, flat year on year ($25.4m), carried 63% of mobile net proceeds; baseball $2.1m, basketball $0.8m, soccer $0.4m immaterial.

MATURING MARKET

Growth has slowed from 37% in FY24 to 7% in FY26; hold is now the swing variable, with structural net hold modelled at 11.5–12.5%.

- Mobile handle grew 37% in FY24, 23% in FY25 and 7% in FY26.
- FY27 Q1 running +9.8% on handle but -0.6% on net proceeds; calendar 9M-2026 handle only +1.8% versus 9M-2025.
- Trailing-twelve-month hold 12.4% on $4.30bn handle and $533m net proceeds; monthly range 10.3% (September) to 15.6% (December 2025).
- Model 11.5–12.5% structural net hold with ±2pp monthly noise, not the 14–15% of November–December 2025.

PROMOTIONAL DEDUCTIONS

Uncapped promo deductions of $34.9m in FY26 (0.9% of handle) can materially move the taxable base and are a likely legislative target.

- $25.6m of FY26 deductions landed in January–April 2026; $12.0m in January alone, ten times the normal $1.0–1.3m monthly run-rate.
- Deductions dropped back to $1.1–1.3m from May; cause could be an operator's acquisition push or a reclassification.
- September's deduction was a modest $1.3m, 0.3% of handle.

TAX AND OPERATOR ROSTER

Tax of $8.50m equals 21.5% of net proceeds, confirming Act 298 in force since August 2025; operator share cannot be tracked publicly.

- July 2025 was still taxed at 15.0%; lifetime mobile has produced $14.8bn handle, $1.70bn net proceeds and $297m tax.
- LGCB platform list names ten brands (FanDuel, DraftKings, Caesars, BetMGM, bet365, Fanatics, BetRivers, Bally Bet, ESPN Bet, TwinSpires) with no operator-level handle.
- At least two listings understood to be dormant [unverified]; third-party guides count seven live apps.
- For B2Tech, entry only possible as a second skin on a casino licensee whose first skin is almost certainly a top-four brand.

GUIDANCE

Calendar 2026 should land at $500–525m net proceeds and $4.25–4.35bn handle, flat-to-low-single-digit growth with hold risk to the downside.

- State FY27 budget built on 21.5% rate and roughly $105–110m sports tax (reading of FY26 $109.6m outturn), requiring ~$500m net proceeds.
- 9M-2026 net proceeds of $357m against a Q4-2025 comparison of $176m.
- Guidance is implicit rather than official; figures are estimates.

MOBILE SPORTSBOOK, US $M	SEP-26	MOM	YOY	FY27 Q1	YOY	FY26	YOY
Wagers (handle)	**384.5**	**+47.5%**	**+4.6%**	**914.5**	**+9.8%**	**3,995.9**	**+7.1%**
Promo wager deductions	1.31	+36.7%	+12.7%	3.35	+6.7%	34.9	-6.4%
Net proceeds (post-promo)	**39.6**	**+27.3%**	**-10.6%**	**103.9**	**-0.6%**	**505.1**	**+13.9%**
Hold % (net)	10.29%	-163bp	-174bp	11.37%	-119bp	12.64%	+75bp
Tax paid (21.5% from Aug-25; 15% before)	**8.50**	**+27.3%**	**-10.6%**	**22.35**	**+8.9%**	**106.6**	**+57.2%**
NET PROCEEDS BY PRODUCT							
Parlay	24.9	+24.2%	-1.9%	65.2	+0.4%	357.7	+20.6%
Football	5.2	n/m	-16.8%	6.9	-3.7%	33.8	+23.9%
Other (props, tennis, golf, combat, etc.)	6.4	+31.4%	-35.6%	18.0	-12.7%	66.1	-0.1%
Baseball	2.1	-26.7%	+11.8%	7.9	-0.9%	18.4	+21.5%
Basketball	0.8	-41.2%	-22.4%	3.4	-8.4%	34.1	-18.2%
Soccer	0.4	-23.2%	+7.8%	3.0	+141%	5.1	-18.1%
Parlay share of mobile net proceeds	63%	—	+1pp	63%	+1pp	71%	+4pp
RECENT MONTHS (HANDLE / NP / HOLD)							
Jun-26	294.7	—	+27.3%	33.6	11.4%	—	—
Jul-26	269.3	—	+26.2%	33.3	12.4%	—	—
Aug-26	260.7	—	+3.6%	31.1	11.9%	—	—

4 DEEP-DIVE — RETAIL SPORTS BETTING

Retail handle fell 39% to $20.6m — structural migration to mobile — though an 18.9% hold produced a one-off 31% rise in win.

SEPTEMBER RETAIL RESULTS

Retail handle fell 39.0% to $20.6m, the lowest September since launch, though an 18.9% hold lifted net proceeds 30.6% to $3.9m.

- Down from $33.8m a year earlier; retail handle fell 13.0% in FY26 to $244.9m and is down 36.3% in FY27 Q1 at $42.3m.
- Trajectory is roughly $150–170m annual retail handle by FY27, around 4% of state total versus 10% in FY23.
- Parlays $2.2m and football $1.8m made up more than the entire win, with baseball, basketball and 'other' negative; not repeatable.
- Tax paid $0.38m, 9.7% of net proceeds against 10% statutory rate; gap explained by loss carry-forward provision.

MARKET ACCESS ROLE

Retail books are an amenity anchoring the licence rather than a profit centre, with FY26 net proceeds of $29.4m across up to 20 venues.

- All 20 sports wagering licences held by land-based casinos; statute launched retail October 2021 and mobile three months later, tying skins to properties.
- Roughly $1.5m per licence before staff, kiosk and platform costs.
- Several licensees run their retail book through the same platform provider that holds their mobile skin.

OPERATOR IMPLICATIONS

The structural shift to mobile is complete and the legislature treats casinos as the constituency to protect.

- 95.6% of FY27 Q1 handle is mobile; retail is a 2–4% channel still carrying full cash-handling and cage compliance cost.
- Retail left at 10% tax while mobile raised to 21.5%, plus loss carry-forward, signals protection of casino licence holders.
- Any future product restriction such as the shelved SB 354 would hit mobile parlays far harder than casino-floor betting.

RETAIL SPORTSBOOK, US $M	SEP-26	MOM	YOY	FY27 Q1	YOY	FY26	YOY
Wagers (handle)	**20.6**	**+80.3%**	**-39.0%**	**42.3**	**-36.3%**	**244.9**	**-13.0%**
Promo wager deductions	0.003	n/m	-90.6%	0.004	-93.9%	0.21	-55.2%
Net proceeds	**3.9**	**+122.4%**	**+30.6%**	**7.0**	**-7.2%**	**29.4**	**+17.1%**
Hold % (net)	18.85%	+605bp	+1,004bp	16.45%	+355bp	12.01%	+309bp
Tax paid (10% of net proceeds)	0.38	+140.8%	+27.3%	0.68	-6.3%	2.93	+15.7%
Retail share of total handle	5.1%	+0.9pp	-3.3pp	4.4%	-3.0pp	5.8%	-1.2pp
NET PROCEEDS BY PRODUCT (SEP-26)							
Parlay / Football	2.24 / 1.81	—	+4.1% / +60.5%	3.42 / 3.17	-15.7% / +22.8%	18.6 / 6.1	+20.0% / +41.9%
Baseball / Basketball / Soccer / Other	-0.01 / -0.01 / 0.00 / -0.14	—	n/m	0.29 / -0.16 / 0.31 / -0.06	n/m	1.1 / 3.7 / 0.2 / 0.02	n/m

5 DEEP-DIVE — LAND-BASED CASINOS, RACINOS & VIDEO POKER

September casino GGR of $195.5m (+11.8%) is the fastest growth in the state, driven by landside relocations and Caesars New Orleans; racetracks lag and video poker is the quiet $750m+ vertical.

SEPTEMBER CASINO GGR

Statewide gaming revenue of $195.5m rose 11.8%, the fastest growth in the state, driven by landside relocations and Caesars New Orleans.

- 15 riverboats and the land-based casino $172.3m (+14%); four racino slot floors ~$23m.
- Lake Charles largest at $69.7m (+9.4%): L'Auberge du Lac $26.7m (+10.6%), Golden Nugget $25.1m (+14.3%), Delta Downs $12.2m (-2.2%).
- New Orleans +13.8% to $50.4m on Caesars New Orleans $25.4m (+30.4%) lapping $435m rebuild; Treasure Chest $11.9m (-3.4%), Boomtown $7.3m (+2.6%).
- Shreveport/Bossier +15.9% to $47.6m: Margaritaville $11.9m (+17.8%), Horseshoe $11.1m (+17.2%), Live! $10.5m (+31.3%).
- Baton Rouge +10.7% to $22.3m as Bally's moved ashore ($4.9m, +607%), masking L'Auberge Baton Rouge (-6.9%) and Queen (-16.4%); Evangeline Downs $5.5m (-2.8%).

QUARTERLY RUN-RATE

Jefferies reads Q3 statewide GGR at +3.5% against an +8.3% prior-year comp, with Caesars the only operator sustaining momentum.

- Racetracks were the laggards in September.
- The Q3 +3.5% is the better run-rate than September's +11.8%.

ANNUAL SCALE FY2024-25

Riverboat AGR of $1,811.0m (+4.6%) generated over $389m state fees; video poker's $757.7m is the second-largest vertical, 70% larger than mobile sports.

- Riverboats +$79.7m; Kenner/Harvey/Amelia $298.3m (+$58.4m), Baton Rouge $275.2m (+$12.5m); $270m landside facility opened February 2025.
- Caesars New Orleans $270.1m (+$29.6m, +12.3%), paid $65.0m under operating contract, ~2,430 employees.
- Racetrack slots $317.5m, essentially flat, $48m state fees.
- Video poker: 12,199 devices at 1,386 locations June 2025, 12,482 at 1,376 by October 2025; net device revenue +1.1%, $229.6m franchise fees (30% blended; Type 4 22.5%).
- Tribal casinos (Coushatta, Paragon, Cypress Bayou, Jena Choctaw Pines) report nothing under IGRA and are excluded.

MARKET STRUCTURE

Land-based market is closed to new entrants via statutory licence caps, but it is where capital is being rewarded.

- Licences change hands only via M&A; incumbents are Bally's, Boyd, Caesars, Penn, Churchill Downs, Cordish/Live!, Golden Nugget/Fertitta.
- 2018 landside law continues to pull revenue up as boats relocate ashore; riverboats employed ~9,700 people in Q3 2025.
- Technology openings: cashless and cage integration, retail sportsbook kiosks, platform supply to licensees with unfilled mobile skins.
- For B2C sportsbooks, casinos are the gatekeepers and will price a second skin accordingly.

CAUTIONS

September's +11.8% is flattered by easy comps, and the state's ~$730m dependence on land-based fees explains policy protecting incumbents.

- Bally's Baton Rouge was mid-transition a year ago; hurricane/weather effects in 2025 not disclosed in sources read.
- FY25 fees ~$730m from riverboats, Caesars, racinos and video poker versus $70m from sports.
- Every 2025–26 policy move has protected land-based incumbents while tightening the screws on online verticals.

LAND-BASED GAMING, US $M	SEP-26	YOY	FY25 (JUL-24–JUN-25)	FY25 YOY	FY25 STATE FEES
Statewide casino GGR (riverboat + land-based + racino)	**195.5**	**+11.8%**	**2,398.6**	**+4.8%**	**~502**
Riverboats (15)	n/a (16 casinos incl. Caesars: 172.3, +14%)	n/a	1,811.0	+4.6%	389 (21.5% state fee)
Caesars New Orleans (land-based, 1)	25.4	+30.4%	270.1	+12.3%	65.0 (contractual)
Racino slots (4 tracks)	~23.2 (derived)	n/a	317.5	~flat	48.0 (~15% effective)
Lake Charles district	69.7	+9.4%	n/a	n/a	n/a
New Orleans district	50.4	+13.8%	n/a	n/a	n/a
Shreveport/Bossier district	47.6	+15.9%	n/a	n/a	n/a
Baton Rouge district	22.3	+10.7%	275.2 (riverboats)	+4.8%	n/a
Video poker net device revenue	**n/a**	**n/a**	**757.7**	**+1.1%**	**229.6 (30% blended franchise fee)**
Video poker devices / locations	12,482 / 1,376 (Oct-25)	+2.3% devices	12,199 / 1,386 (Jun-25)	n/a	—
DFS gross revenue / net revenue / tax	n/a	n/a	12.6 / 1.48 / 0.12	+8.5% net	8% of net revenue
Riverboat employment	~9,724 (Q3-25)	n/a	~8,900–9,000 (FY25)	n/a	—

6 DEEP-DIVE — LICENSING, TAX & ENFORCEMENT

Casino-anchored licensing (20 licences, $350k platform permits), a 21.5% mobile tax on a promo-deductible base, and a 2026 session that criminalised sweepstakes while shelving a prop-bet ban for fiscal reasons.

REGULATORY FRAMEWORK

The five-member LGCB, with a $1.0m FY25 budget, delegates enforcement to State Police; sports wagering is legal in 55 of 64 parishes.

- Enforcement, audit and revenue reporting delegated to Louisiana State Police Gaming Enforcement Division; budget funded from riverboat, sports-wagering and pari-mutuel enforcement funds.
- Statutes include the Riverboat Act, Economic Development and Gaming Corporation Act, Video Draw Poker law, Pari-mutuel Act, Fantasy Sports Contests Act and Sports Wagering Act (2021).
- Nine parishes that declined in November 2020 are geofenced out, slightly reducing addressable population versus 4.6m residents.

LICENCE STRUCTURE

Up to 20 casino-anchored sports wagering licences and cheap permits ($100,000 plus $250,000) make the casino deal the binding constraint.

- Only riverboat, slots-at-the-track and land-based casino licensees were eligible initially; each may run its own book or contract a platform provider.
- Platform provider permit: $100,000 application fee plus $250,000 for five years, renewable; service provider permit $10,000 plus $12,500 for five years.
- Entry cost a fraction of New York's or Pennsylvania's, but ten platforms against 20 licences means skins are concentrated among largest brands.
- House rules and new wager types must be submitted to the Sports Wagering Catalog (version 78, 2 Sep 2026).

TAX RATES AND DEDICATIONS

Mobile pays 21.5% on promo-deductible net proceeds under Act 298; new SPORT Fund dedications create a durable constituency for the tax.

- Act 298 of 2025 (HB 639) signed June 2025, effective 1 Aug 2025; first draft proposed 32.5%. Retail pays 10%; DFS 8% of net revenue.
- Riverboats pay 21.5% state fee plus admission fees; racinos ~15% of slot AGR in FY25; Caesars New Orleans paid $65.0m; video poker 22.5% for Type 4 [non-Type-4 rates not verified].
- Statutory loss carry-forward means monthly tax can deviate from headline rate.
- 25% of mobile tax to SPORT Fund for eleven NCAA Division I programmes (roughly $1.7–2m each), 3% to Postsecondary Inclusive Education Fund, plus legacy 25% early-childhood, 10% local, 3% problem gambling.

2026 ENFORCEMENT SESSION

HB 883 and HB 53 created the toughest enforcement regime of any US state, criminalising sweepstakes with fines up to $100,000 and racketeering exposure.

- HB 883 (House 98-0, Senate 35-0) covers dual-currency games, extends liability to platform and financial-transaction providers, raises fines from $20,000 to $100,000, gives AG injunctive powers.
- HB 53 (House 86-11, Senate 27-9) adds gambling by computer and sweepstakes devices to racketeering: up to 50 years' hard labour, $1m fines, five-year minimum above $10,000.
- Both signed May 2026, effective 1 Aug 2026, after Governor Landry vetoed SB 181 in 2025; LGCB then issued 40+ cease-and-desist letters.

> *"multiple illegal operators"* — **Board's 30th annual report**

PROP-BET BAN SHELVED

SB 354's prop and in-play ban was withdrawn on 1 Apr 2026 over a $20m+ General Fund loss, but the sponsor will return in 2027.

- Legislative Fiscal Office showed General Fund loss exceeding $20m a year, around $40m of total tax in some accounts.
- An iLottery authorisation was prefiled [outcome unverified]; no iGaming bill advanced.
- Direction of travel: protect the taxed, licensed base, criminalise anything adjacent, keep the tax conversation open.

LICENSING & TAX REGIME (STATUTE / LGCB)	LICENCE / TAX ITEM	BASE OR SCOPE	RATE / FEE	TERM / COUNT	RECENT OR PENDING CHANGE
Sports wagering licence	Riverboat, racino and land-based casino licensees only	n/a (tied to casino licence)	Cap of 20; 15 riverboats + 4 racinos + 1 land-based eligible	No change; 55 of 64 parishes opted in (Nov-2020)	
Sports wagering platform provider permit	Operates retail/mobile book for a licensee	$100,000 application (non-refundable) + $250,000 permit	5 years; 10 platforms listed by LGCB	List includes dormant brands [unverified]	
Sports wagering service provider permit	KYC, geolocation, data, risk, etc.	$10,000 application + $12,500 permit	5 years	—	
Mobile sports tax	Net proceeds (GGR less promo wagers; losses carried forward)	21.5%	Monthly	15%→21.5% from 1 Aug 2025 (Act 298); 25% to SPORT Fund, 3% to Inclusive Education	
Retail sports tax	Net proceeds	10%	Monthly	Unchanged	
Fantasy sports tax	Net revenue	8%	Annual; 2 operators (DraftKings, FanDuel)	Unchanged; FY25 tax $118,755	
Riverboat state fee	Net gaming proceeds	21.5% (+ local admission fees)	15 licences	FY25 fees $389m	
Land-based casino (Caesars NO)	Operating contract	$65.0m paid FY25 (~24% of GGR)	1 licence	$435m rebuild completed Oct-24	
Racino slots	Net slot proceeds (after purse supplements)	~15% effective state fee (FY25: $48m on $317.5m)	4 tracks	—	
Video poker franchise fee	Net device revenue	22.5% Type 4 (racetrack/OTB); other types higher [unverified]	12,482 devices / 1,376 locations (Oct-25)	FY25 fees $229.6m	
Sweepstakes / dual-currency casinos	Illegal 'gambling by computer' (HB 883); racketeering predicate (HB 53)	Fines to $100k/violation; up to 50 yrs & $1m under RICO	Effective 1 Aug 2026	LGCB issued 40+ C&D letters 2025–26	
Prop / micro-bet ban (SB 354)	Would have barred all props and in-play micro wagers	n/a	Withdrawn 1 Apr 2026	Fiscal note >$20m GF loss; sponsor to refile 2027	
iGaming / iLottery / prediction markets	Not authorised / bill prefiled 2026 [outcome unverified] / outside LGCB framework	n/a	n/a	No iGaming bill in 2026	

7 DEEP-DIVE — PAYMENTS, RESPONSIBLE GAMBLING & ADVERTISING

A conventional US payments stack with no regulator data, a modest RG framework (3% of sports tax, statewide self-exclusion, 21+, parish geofencing) and advertising rules that lean on the Board's catalog and wager approvals rather than hard caps.

PAYMENTS

Louisiana publishes no payments data; HB 883 extends liability to financial-transaction providers, eliminating grey-market processing opportunity.

- Licensed books run the standard US stack: ACH, cards, PayPal/Venmo-type wallets, Apple Pay, PayNearMe vouchers and cash at the casino cage.
- No credit-card deposit ban legislated [unverified].
- From 1 Aug 2026 acquirers and processors will tighten merchant-category screening; raises compliance bar for B2B payments products.

RESPONSIBLE GAMBLING

RG framework is statutory but thin: 21+, parish geofencing, statewide self-exclusion and 3% of sports tax (roughly $3.3m a year).

- Geolocation enforces wagering within the 55 opted-in parishes; self-exclusion applies across riverboats, Caesars, racinos, video poker and sportsbooks.
- 3% of FY26 sports tax of $109.6m funds problem-gambling programmes via Office of Behavioral Health and 1-877-770-STOP helpline.
- No statutory deposit limits, affordability checks or mandatory loss limits; operators must offer self-set limits and cooling-off tools.
- Board prohibited prop wagers on individual college athletes in 2024 [widely reported; not re-verified], significant in an LSU-dominated market.

ADVERTISING AND OUTLOOK

Advertising rules rely on licence conditions with no bonus cap; tighter in-play, prop and promo rules are likely within two years.

- No marketing to under-21s or on campuses, no 'risk-free' framing, mandatory RG messaging; no whistle-to-whistle restriction or affiliate licensing of note.
- Promo deduction makes bonusing tax-efficient, visible in the January–April 2026 surge to $25.6m of deductions.
- SB 354 debate framed around in-play micro-betting harm to college-age bettors; sponsor returning in 2027 with AG racketeering tool available.
- Operators should assume tighter in-play and prop rules and possibly a cap on promo deductions.

PAYMENTS & RG FRAMEWORK	ITEM	CURRENT RULE / DATA	SOURCE STATUS
Deposit methods	ACH, debit/credit cards, e-wallets, PayNearMe, casino cage cash	Industry practice; regulator publishes no data	
Credit-card deposit ban	None identified	[unverified]	
Payment-processor liability	HB 883 extends 'gambling by computer' liability to financial-transaction providers for dual-currency games	Effective 1 Aug 2026	
Minimum age / geofencing	21; 55 of 64 parishes for sports wagering	Statute / LGCB annual report	
Self-exclusion	Statewide LGCB list across all commercial gaming	LGCB	
Problem-gambling funding	3% of sports wagering tax (~$3.3m on FY26 tax)	Statute; Louisiana Illuminator	
College player props	Prohibited by LGCB since 2024	[not re-verified]	
Promo wagers	Deductible from taxable net proceeds; FY26 $34.9m (0.9% of handle); Jan–Apr 2026 spike $25.6m	LGCB/LSP workbooks	
Advertising	Licence conditions: no under-21 targeting, RG messaging; no bonus cap or whistle-to-whistle rule	Board rules [not itemised in sources read]	

8 HIGHLIGHTS & LOWLIGHTS

▲ HIGHLIGHTS

- Mobile handle is still growing in a mature market — +4.6% YoY in September, +9.8% in fiscal Q1 and 95% of all stakes — on a $4.3bn trailing-twelve-month base that yields ~$530m of net proceeds; the addressable online pool is real even if growth is now mid-single-digit. structural
- Parlay-led economics: parlays delivered $24.9m (63%) of September mobile win and 71% of FY26 mobile net proceeds; with the prop/micro-bet ban (SB 354) withdrawn, the high-margin product set stays intact through at least the 2026-27 season. mixed
- Tax base relief is built into the statute: promotional wagers are deductible and operator losses carry forward, so the 21.5% headline rate applies to a net base — FY26 promo deductions of $34.9m were worth ~$7.5m of tax at the mobile rate. structural
- Land-based momentum: casino GGR +11.8% in September (16 casinos +14%), with landside relocations (Bally's Baton Rouge +607%, Shreveport/Bossier +15.9%) and Caesars New Orleans (+30.4%) proving that capex is being rewarded in a protected, capped licence environment. mixed
- The sweepstakes ban (HB 883/HB 53, effective 1 Aug 2026) removes an untaxed online-casino substitute that had been competing with licensed sportsbooks for the same wallets; licensed operators are the direct beneficiaries of the AG's new enforcement toolkit. structural
- Entry costs for suppliers are low: a platform provider permit is $350k per five years and a service provider permit $22.5k, so a B2B route (platform, risk, payments, kiosks, cashless) into the 20 casino licensees and ~12,500-device video poker estate is cheap to secure relative to the state's ~$3.6bn gaming revenue. structural
- Enforcement credibility is high and public: the LGCB's 40+ cease-and-desist letters and the annual report's explicit claim of having stopped multiple illegal operators give licensed participants a cleaner competitive field than most US states. structural

▼ LOWLIGHTS

- Tax risk is live, not theoretical: the mobile rate rose 43% (15%→21.5%) in August 2025, the opening bid was 32.5%, and 28% of the take is now earmarked to college athletics and inclusive education — constituencies that will lobby for more, not less; a promo-deduction cap is the obvious next lever. structural
- Hold compression hit the P&L: September mobile hold of 10.3% (vs 12.0%) turned +4.6% handle growth into -10.6% net proceeds; monthly hold has ranged 10.3–15.6% over the past year, so quarterly earnings from Louisiana are results-driven and volatile. one-off
- Retail is in structural collapse — handle -39% in September, -36% in fiscal Q1, -13% in FY26 — leaving casino-floor books as a compliance cost that anchors the licence rather than a profit centre. structural
- Market access is gated: 20 licences held exclusively by casinos/racinos, ten platforms already listed, no operator-level data published, nine parishes geofenced out, and no iGaming or iLottery — a new B2C entrant must buy a second skin from an incumbent and take share from FanDuel/DraftKings in a market growing ~2% on calendar handle. structural
- Product restriction is a 2027 risk: SB 354's prop and micro-bet ban died only on a >$20m fiscal note, and the sponsor has committed to refile; with parlays and 'other' wagers carrying ~79% of mobile win, even a partial in-play restriction would cut net proceeds and tax materially. watch
- Racketeering exposure for anything adjacent: HB 53 makes 'gambling by computer' a RICO predicate (up to 50 years, $1m) and HB 883 reaches platform and payment providers; prediction-market and sweepstakes adjacencies carry criminal, not just civil, risk in Louisiana from 1 Aug 2026. governance
- Data gaps limit diligence: the regulator reports no operator shares, no actives/ARPU, no payments data, and tribal casino revenue is undisclosed; September video poker and lottery figures were not available for this brief, so the total-market picture rests on FY25 annual data. watch

9 FORECAST & OUTLOOK

Guidance bridge. A market has no guidance, so the bridge tracks how the rule-set has moved from the FY25 baseline (15% mobile tax, sweepstakes in a grey zone, props unrestricted, no online casino) to the regime in force for FY27. The tax step-up came from the legislature's 2025 budget-gap search and the college-athletics lobby; the enforcement step-up came from the LGCB and the Attorney General rather than new operators; and the one measure that would have hit the parlay-led mobile model — SB 354 — was stopped by the Legislative Fiscal Office's arithmetic, not by principle. Net effect for the September data: the same handle generates ~43% more tax per dollar of net proceeds than two years ago, while the grey-market competitors that were absorbing wallet share are being criminalised out of the state.

MOBILE SPORTS TAX RATE	SWEEPSTAKES / DUAL-CURRENCY ONLINE CASINOS	PROP & IN-PLAY MICRO-BET BAN (SB 354)	IGAMING / ILOTTERY / PREDICTION MARKETS
21.5% of net proceeds	**Prohibited from 1 Aug 2026**	**Withdrawn 1 Apr 2026**	**Not authorised**
from 15% (Act 298, HB 639; effective 1 Aug 2025); 25% of take to SPORT Fund, 3% to Inclusive Education	HB 883 (fines to $100k/violation; reaches platform & payment providers) + HB 53 (racketeering predicate, up to 50 yrs/$1m)	Fiscal note >$20m General Fund loss; sponsor to refile in 2027 — parlays/props = ~79% of mobile win	No iGaming bill in 2026; iLottery prefiled [outcome unverified]; event contracts outside LGCB framework

Independent view. Our independent view is that Louisiana is a **mature, mobile-only sportsbook market growing 2–5% on handle** with a land-based base growing faster for the next two to three quarters as landside relocations annualise. For calendar 2026 we model (estimates) handle of **$4.25–4.35bn**, net proceeds of **$500–525m** (assuming Q4 hold reverts to 12–13% against Q4-25's exceptional $176m) and sports tax of **~$105–110m**; for FY27 we expect handle +3–5%, net proceeds flat to +5% and mobile share above 95%, with retail handle falling a further 25–35%. Trailing hold should normalise to **~12%**, and parlay share will stay above 60% of mobile win unless product rules change. On rules, we see **no change to the 21.5% rate before the FY28 budget cycle**, but a **better-than-even chance of a promo-deduction cap or an in-play/prop restriction being filed in the 2027 regular session**; the fiscal note on SB 354 shows the state values the product at >$20m of General Fund a year, which is also the price at which it would trade it away. Enforcement will intensify rather than relax — the AG now has racketeering tools and payment-processor liability — and we expect the first HB 883/HB 53 actions, and probably a Louisiana move against sports event contracts, before mid-2027. **No iGaming before 2028 at the earliest**: the casino and video poker constituencies (~$730m of state fees) have no incentive to cannibalise themselves, and the legislature's 2025–26 record is one of protecting them. For B2Tech, the implication is that Louisiana is a **B2B and land-based supply opportunity, not a B2C entry market**: platform, risk, kiosk, cashless and compliance-payments products sold to the 20 licensees and the video poker route, with no exposure to any grey-market adjacency.

What to watch next quarter:

- Q4-2026 football hold and handle against the Q4-2025 comp ($1.30bn handle, $176m net proceeds, 13.5% hold) — determines whether calendar 2026 net proceeds beat 2025's $521.5m.
- 2027 regular session prefilings (from ~January 2027): a refiled prop/micro-bet ban, any promo-deduction cap, mobile tax tweaks and the fate of iLottery; the SPORT Fund's first distributions will shape the political appetite.
- First enforcement actions under HB 883/HB 53 after 1 Aug 2026 — targets, payment-processor involvement and whether sports event contracts (Kalshi/Robinhood/Crypto.com) are swept in.
- LGCB platform-list refresh and any new skin agreements (Bally Bet, Fanatics, bet365 expansion; ESPN Bet/TwinSpires status) — the only public signal of operator churn in a market with no share data.
- Landside relocation pipeline and racino weakness: Bally's Baton Rouge and Shreveport/Bossier comps lap in 2027; Delta Downs/Evangeline Downs declines may prompt racino relief requests.
- Video poker device count (12,482 at Oct-25) and net device revenue — the second-largest vertical and the clearest read on the land-based consumer.
- Promotional deductions: a repeat of the Jan–Apr 2026 $25.6m spike would both depress tax and invite a legislative cap.

DATA CONFIDENCE: MEDIUM Market reports natively in USD; no FX conversion required. Sports-wagering figures (handle, promo deductions, net proceeds, hold, tax, product mix, fiscal/calendar aggregates) are taken directly from the LGCB/LSP September 2026 mobile and retail sportsbook workbooks and cross-check to Gaming Intelligence ($405.1m, +1%) and CDC Gaming ($45m gross win, -7%; $405m handle) — HIGH confidence. September 2026 casino/racino figures are LGCB data as relayed by CDC Gaming and Gaming Intelligence; the regulator's own casino workbook was not re-opened — MEDIUM. FY25 market composition, licence fees and state fees are from the LGCB 30th/29th Annual Reports and Board transcripts — HIGH. Legislative items (Act 298/HB 639, HB 883, HB 53, SB 354) are corroborated across the legislative digest and at least two trade sources — HIGH. NOT verified in this brief: September 2026 video poker and lottery data; operator-level shares (not published by the regulator); the current active status of ESPN Bet and TwinSpires on the LGCB platform list; the iLottery bill outcome; prediction-market enforcement status; non-Type-4 video poker franchise-fee rates; the absence of a credit-card deposit ban; the 2024 college player-prop prohibition. All forecast figures are our estimates and are labelled as such.

Sources: [Primary] Louisiana State Police Gaming Enforcement Division – Gaming Revenue Reports index (LGCB monthly workbooks); [Primary] LGCB/LSP – Sportsbook Mobile revenue report, September 2026 (FY27, xlsx); [Primary] LGCB/LSP – Sportsbook Retail revenue report, September 2026 (FY27, xlsx); [Primary] LGCB – 30th Annual Report to the Louisiana State Legislature (FY2024-25); [Primary] LGCB – 29th Annual Report to the Louisiana State Legislature (licence structure and permit fees); [Primary] LGCB – Licensed Wagering Platforms in Louisiana; [Primary] LGCB – Board meeting transcript, 17 July 2025 (FY25 riverboat, Caesars, racino, video poker outturn); [Primary] LGCB – Board meeting transcript, 13 November 2025 (Oct-25 riverboat and video poker data, employment); [Primary] Louisiana Legislature – HB 639 (2025 RS) reengrossed digest: online sports wagering tax 15%→21.5%, SPORT Fund; [Primary] LGCB – Sports Wagering Catalog, version 78 (2 Sep 2026); [Secondary] Gaming Intelligence – Louisiana sports betting tops $405 million in September (20 Oct 2026); [Secondary] Gaming Intelligence – Louisiana gaming revenue grows by 14% in September (21 Oct 2026); [Secondary] CDC Gaming – Louisiana gaming revenue up nearly 12% in September (15 Oct 2026); [Secondary] Louisiana Illuminator – Louisiana hikes sports gambling tax to subsidize college athletics (8 Jun 2025); [Secondary] Yogonet – Louisiana Gov. signs bill increasing online sports betting tax to 21.5% (18 Jun 2025); [Secondary] Gambling Insider – Louisiana prefiles gambling bills incl. sweepstakes and prop-bet bans (2 Mar 2026); [Secondary] SBC Americas – Louisiana House passes HB 883 targeting sweepstakes casinos (15 Apr 2026); [Secondary] Gambling.com – Louisiana's sweepstakes casino ban to take effect August 1 (2026); [Secondary] Covers – Louisiana gambling racketeering bill (HB 53) signed by Governor (22 May 2026); [Secondary] Legal Sports Report – Louisiana bill banning prop bets dies after fiscal note released (1 Apr 2026); [Secondary] SBC Americas – Louisiana senator tosses bill to ban prop bets over lost revenue concerns (1 Apr 2026); [Secondary] Gambling Insider – Louisiana's bill withdrawal shows cost of banning prop bets, microbetting (3 Apr 2026).

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